

China Internet

Who Pays for the AI Build?

On Monday, 24 Aug 2026, Alibaba raised HK\$80bn (US\$10.3bn) through 710m new shares at HK\$112.70, an 8.4% discount to last Friday's close and 3.7% of existing shares. The Hong Kong shares fell 8.5% on 25 Aug 2026, versus Tencent down 2.2% and HSTECH down 2.1%. Only 0.3% of Alibaba's share price move is the arithmetic of issuing at a discount, in our view; we estimate the abnormal repricing of existing holders at about US\$19bn, roughly twice the cash raised. In our view, Alibaba's sell-off is too large relative to the actual shareholder cost. Therefore, we believe the market is treating Alibaba's equity raise as evidence that China's AI capex cycle is becoming economically dangerous. We, on the other hand, argue that the more accurate conclusion is narrower: Alibaba's AI investment cycle is likely longer than expected, but the underlying compute economics remain attractive and the three CSPs in our coverage universe have very different funding risks. We maintain Overweight on Alibaba, Tencent and Baidu and we recommend investors accumulate Alibaba into the September-quarter print.

- **What changed is our interpretation of the AI investment cycle's duration, not our FY27 capex estimate or view of compute returns.** We keep Alibaba FY27E capex at RMB200bn and treat the RMB270bn June-quarter run rate as a stress case. At RMB200bn capex, Alibaba's annual internal funding deficit is about RMB100bn, but the company has cRMB150bn of usable liquidity plus substantial debt capacity. So, liquidity or solvency is not the key risk. Four tests frame the transaction: the compute tranche is positive NPV on our vintage model (22% project IRR versus a cost of capital near 10%); EPS turns accretive from year two if at least 80% of proceeds become infrastructure but stays modestly dilutive at our 60% base mix; debt would have been about 3ppt better for EPS; and issuing below our HK\$205 fair value reduces intrinsic value per existing share by about 1%. The placement is therefore not free, but neither does it resemble the value destruction priced on Monday, in our view.
- **Across the sector, three funding models are now visible.** Alibaba uses parent equity plus debt after a rerating. Tencent funds capex from operating cash flow, bonds and a RMB875bn investment portfolio. Baidu borrows and seeks subsidiary equity through Kunlunxin. Each route has a shareholder cost - direct dilution at Alibaba, foregone portfolio returns and tax leakage at Tencent, and dilution of the AI asset at Baidu. We think the read-across from Alibaba's placement to Tencent and Baidu is overstated.
- **The key risks to our thesis are observable.** Our Alibaba case weakens if mature ROIC on deployed proceeds falls below roughly 15%, the infrastructure share of AI spend approaches 40%, the three-year capex commitment rises materially above RMB380bn without a matching lift in external cloud growth, or compute pricing deflates as supply loosens.

**Head of China Equity Research
and Co-Head of Asia TMT
Research**
Alex Yao ^{AC}

(86 21) 6106 6505

alex.yao@jpmorgan.com

SAC Registration Number: S1730523020001

Daniel Chen

(86-21) 6106 6205

daniel.q.chen@jpmorgan.com

SAC Registration Number: S1730521040001

Olivia Xu

(86-21) 6106 6138

olivia.w.xu@jpmorgan.com

SAC Registration Number: S1730525060001

Nancy Liu

(86 21) 6106 6343

nancy.liu@jpmorgan.com

SAC Registration Number: S1730524090001

J.P. Morgan Securities (China) Company
Limited

Table 1: Funding, cost and dilution at a glance

	Alibaba	Tencent	Baidu
Jun-Q Capex (RMB bn)	67.7	52.8	11.4
Capex/OCF, Jun Q	3.0x	1.0x (0.5x ex prepayments)	3.3x
Annual internal surplus/(deficit) (RMB bn)	(100)	Broadly balanced	(19)
Liquidity after haircuts	RMB150bn	RMB50bn + portfolio	RMB100bn
Primary funding route	Parent equity; RMB/USD debt	OCF; portfolio recycling; bonds	Loans; leases; Kunlunxin equity
Parent share-count dilution, next 12m	3.7% done; low further risk	Negligible	Low
Return visibility	High	Medium	Low-medium
Next likely funding action	Debt; possible cloud-level financing	Selective disposals	Kunlunxin listing

Source: J.P. Morgan estimates, Company data, as of 2Q26.

What the market priced in the placement

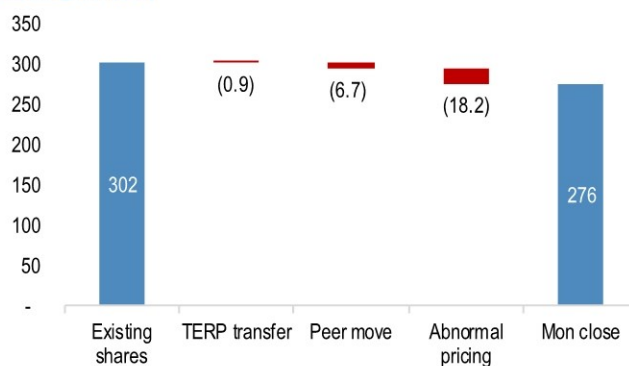
The terms of Alibaba's equity fundraising are straightforward: 710m new ordinary shares at HK\$112.70, HK\$80.0bn gross, sold to investors outside the United States and settled on 26 August; proceeds are earmarked for full-stack AI capabilities including infrastructure. It is Alibaba's first primary placement since the 2019 Hong Kong listing and was upsized on long-term investor demand.

Table 2: Placement mechanism

Item	Value	Note
Shares outstanding before deal (bn)	19.17	
New shares (bn)	0.71	3.7% of existing; 3.6% of enlarged
Placement price (HK\$)	112.7	8.4% discount to Friday close of HK\$123
Gross proceeds (HK\$bn/US\$bn/RMB bn)	80.0/10.3/69.5	RMB at 0.86855 per HK\$
Theoretical ex-placement price (HK\$)	122.63	$(19.17 \times 123 + 0.71 \times 112.7) / 19.88$
Mechanical transfer to new holders	0.3%	US\$0.9bn
Monday close (HK\$)	112.5	Down 8.5%
Peer benchmark move	Down 2.2%	Tencent, 24 Aug
Abnormal move	Down 6.3%	~US\$19bn on existing shares
Placement multiple	8.4x FY28E PE	13.1x FY27E
Earnings yield at placement price	12%	EPS accretion hurdle, not cost of equity

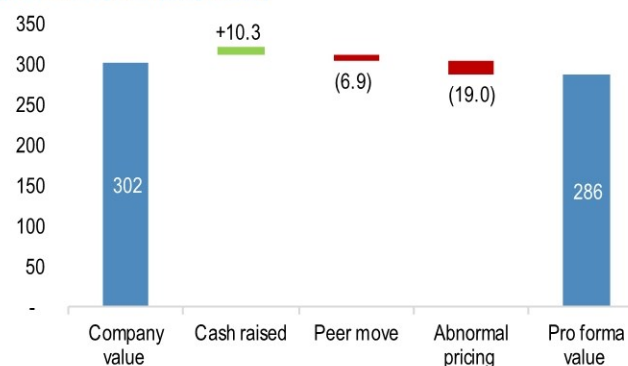
Source: Alibaba company filing as of 24 Aug 2026, Bloomberg Finance L.P. as at 25 Aug 2026.

Figure 1: Separating transaction arithmetic from market reaction (existing holders)



Source: Alibaba company filing as of 24 Aug 2026, J.P. Morgan estimates, Bloomberg Finance L.P. as at 25 Aug 2026.

Figure 2: Separating transaction arithmetic from market reaction (post-money company value)



Source: Alibaba company filing as of 24 Aug 2026, J.P. Morgan estimates, Bloomberg Finance L.P. as at 25 Aug 2026.

Figure 1 separates transaction arithmetic from the market's broader reaction. Existing holders lost about US\$0.9bn from the discount, roughly US\$6.7bn from the peer move, and about US\$18-19bn from abnormal repricing. On a post-money basis, adding US\$10.3bn of cash still leaves pro-forma market value near US\$286bn. The market therefore removed roughly twice the proceeds in abnormal value.

Figure 3: NPV on the proceeds implied by different readings of Monday



Source: J.P. Morgan calculations. Note: Market implied case uses the US\$19bn abnormal repricing from Figure 2 against US\$10.3bn raised.

Attributing the full abnormal move to this tranche requires every Rmb100 raised to destroy roughly Rmb185 of value. Even total loss of the proceeds explains only about US\$10bn. Our vintage model implies positive NPV of Rmb36 per Rmb100 on the infrastructure tranche and Rmb22 at our 60% base mix. We therefore interpret most of the move as a repricing of the duration and scale of the broader capex program.

Sources and uses: the funding gap by name

We separate four items that investor discussion often blends: annual internally funded surplus or deficit, immediately available liquidity, incremental debt/equity capacity, and the number of months or years that each funding pool covers.

Table 3: Annual internally funded surplus or deficit (RMB bn)

	Alibaba FY27E (Mar-27)	Tencent CY26E	Baidu CY26E
Operating cash flow, WC normalized	135	310	15
Capex, base case	200	200	30
Dividend	30	42	-
Buyback	5	45	4
Content, leases and others	-	19	-
Surplus/(deficit), base case	(100)	4	(19)
Capex, stress case (Jun-Q annualized)	270	211	46
Surplus/(deficit), stress case	(170)	(7)	(35)

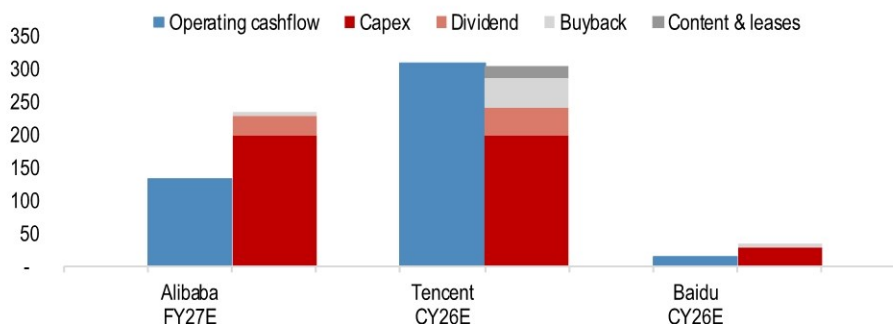
Source: J.P. Morgan estimates, Company data as of 2Q26.

Table 4: Liquidity and coverage (RMB bn)

	Alibaba	Tencent	Baidu
Cash & liquid investments / net cash as reported	475	58.2 (net)	283
Gross debt	266	453	104
Net cash, group	208	58	179
Less minimum operating cash	(60)	(50)	(15)
Less long-dated deposits/HTM at 50%; iQiyi cash	-	-	(65)
Liquidity available for the program	150	8	100
Placement proceeds	70	-	-
Investment portfolio, listed FV + unlisted book	NA	875	NA
Additional debt capacity at 1x EBITDA	170	300	25
Months of base-case deficit covered by placement	8	NA	NA
Months of stress-case deficit covered by placement	5	NA	NA
Years of base-case deficit covered by liquidity + placement	2	NA	5+

Source: J.P. Morgan estimates, Company data as of 2Q26.

Figure 4: Alibaba has the largest structural funding deficit; Tencent is broadly balanced (RMBbn)



Source: J.P. Morgan estimates, Company data as of 2Q26.

Alibaba: structural deficit, but ample funding capacity

At RMB200bn of capex, uses exceed operating cash flow by about RMB100bn a year; in the stress case, the gap is RMB170bn. The placement covers about 8.4 months of the base case and five months of stress case. The remainder is fundable from roughly RMB150bn of haircut liquidity and RMB debt at 2-3%, so solvency is not the issue. In the June quarter, net bank borrowings rose RMB11bn and prepayments increased roughly RMB69bn across current and non-current lines, which we read as including chip and capacity prepayments. Cash commitment is running ahead of reported capex. We expect more debt and potentially cloud-level financing over the next 12 months; a second parent placement would be a negative signal on returns.

Tencent: self-funding at the margin

First-half operating cash flow of RMB154bn annualizes to roughly RMB310bn against our RMB200bn capex, the RMB41.6bn dividend already paid and buybacks running near RMB45bn. Net cash fell from RMB146.9bn to RMB58.2bn in the quarter because the dividend and RMB51bn of compute prepayments landed together. Tencent also issued US\$2.45bn and RMB15bn of long-dated notes in June, doubled short-term borrowings to RMB86bn, and saw accounts payable rise to RMB176bn from RMB121bn at December, consistent with chip payables. Behind that sits RMB487bn of listed and RMB388bn of unlisted investments. We see parent-equity risk as close to zero.

Baidu: weakest internal funding, least incentive to issue parent equity

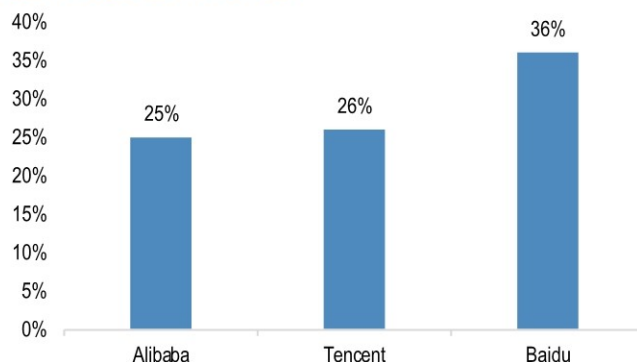
June-quarter capex of RMB11.4bn against operating cash flow of RMB3.4bn was funded by RMB17.4bn of financing inflows: short-term loans rose from RMB7.6bn to RMB26.3bn and long-term loans from RMB3.4bn to RMB20.8bn, while lease right-of-use assets doubled to RMB18.6bn since December. After haircutting long-dated deposits and excluding iQIYI, about RMB100bn of liquidity still covers the base-case deficit for years. The constraint is not cash; it is the parent's low valuation and unwillingness to dilute. The equity route is Kunlunxin.

Table 5: Comparable AI cash commitment, June quarter (RMB bn)

	Alibaba	Tencent	Baidu
Reported Capex	68	53	11
+ AI-related prepayments in quarter	69	51	NA
+ Lease additions	NA	2	9 (vs Dec)
- increase in supplier payables	(53)	(27)	(1)
Adjusted AI cash commitment	84	79	19
As multiple of OCF	3.7x	1.5x	5.6x

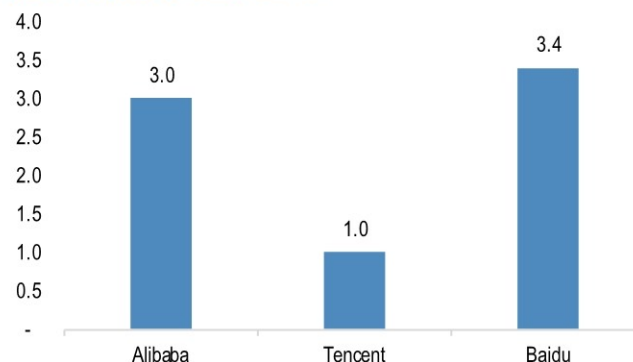
Source: J.P. Morgan estimates, Company data as of 2Q26.

Figure 5: Capex as % of revenue



Source: Company reports as of 2Q26.

Figure 6: Capex/operating cash flow



Source: Company reports as of 2Q26.

Three funding models - and what each costs

The three companies are making the same strategic judgment on AI with different balance sheets and different share prices. The rule that falls out is intuitive: issue parent equity when the stock has rerated and project IRR exceeds the earnings yield; recycle a portfolio when the portfolio is larger than the program; and raise at subsidiary level when the parent is cheap and the subsidiary is the AI asset. 'No parent equity' does not mean 'no cost'.

Table 6: Funding models and their economic cost

	Alibaba	Tencent	Baidu
Primary route	Parent equity + debt 3.7% more shares; interest on	OCF; bonds, portfolio disposals	Loans, leases, Kunlunxin equity
Explicit cost	RMB266bn debt Issuance below fair value (~1%/share at PT); rating headroom	Interest; tax on disposal gains Foregone returns/optionality on assets sold; market impact	Interest and lease cost
Hidden/opportunity cost		Tax + discount leakage RMB7-12bn; foregone return ~RMB6bn/yr at 8%	Parent ownership of AI asset reduced Kunlunxin stake ~67% toward 60% for
Illustrative cost of raising Rmb70bn	3.7% dilution; EPS drag vs debt ~3ppt Earnings yield below project IRR; offshore currency; permanent capital	Portfolio larger than program; capex framed as 2026-27 lump sum	RMB25-30bn; ~2% of group SOTP transferred Parentco valuation is low on 2027E basis; AI asset separable; lenders willing
Why this route	Multi-year; funding extends beyond one procurement cycle	Bounded; compute resale as backstop	Scale gated by Kunlunxin proceeds
What it reveals	More debt; no second placement in 12m	Continued selective disposals	Kunlunxin listing; dividend maintained; buyback slow
Next likely action			

Source: J.P. Morgan estimates, Company data as of 2Q26.

Tencent's disposals surrender assets that we believe the market under-credits, so the case for recycling rests on the spread between roughly 20% capex ROIC and a high-single-digit portfolio return, less leakage. Baidu holders give up part of the one asset that carries the thesis. Alibaba's cost is the most visible and easiest to price - one reason the market priced it hardest.

Alibaba placement: four separate tests

Positive project NPV, EPS accretion, the choice of equity over debt, and value per existing share are different questions. Treating them as one is the main source of confusion in the placement debate, in our view.

Test 1 - Does the infrastructure create economic value?

Yes, for the compute tranche. Our vintage model from our [recently published note](#) uses RMB1 of annual revenue per RMB1 of capex at full utilization, a 45% incremental EBITDA margin, 20% tax, a five-year straight-line economic life, and a 60% / 90% / 100% utilization ramp. Per RMB100 of capex, after-tax cash flows are (100) / 25.6 / 36.4 / 40.0 / 40.0 / 40.0,

giving a 22% project IRR, 2.9-year payback and RMB36 NPV at a 10% discount rate. That reconciles management's sub-three-year payback and 13%+ blended ROIC.

The qualification is use of proceeds. Alibaba described the purpose as full-stack AI capabilities including infrastructure. Model training, application inference and customer acquisition are expensed inside AI Labs and Applications, which lost RMB13.9bn in the quarter, and have no auditable return today. We therefore adopt 60% infrastructure as the base mix and assume no measurable return on the non-infrastructure tranche.

Table 7: EPS effect by use of proceeds (% vs no-raise / no-incremental-capex baseline)

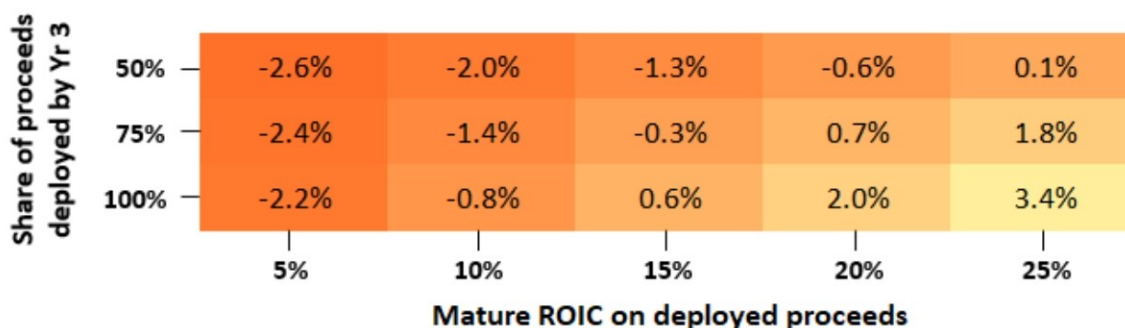
Infrastructure share	Yr1 FY27E	Yr2 FY28E	Yr3 FY29E	Yr4 FY30E
100%	(0.9)	1.6	2.0	1.5
80%	(1.4)	0.6	0.9	0.5
60% (base)	(2.0)	(0.5)	(0.2)	(0.5)
40%	(2.5)	(1.5)	(1.3)	(1.5)
Proceeds parked in cash	(2.8)	(3.1)	(3.1)	(3.2)
Memo: debt-funded, 100% infrastructure	1.6	4.6	5.1	4.6

Source: J.P. Morgan estimates.

Test 2 - Does the transaction increase EPS?

It depends on mix. At 80% or more infrastructure, the placement becomes accretive from year two. At our 60% base case, it is 0.5% dilutive in FY28E and roughly neutral thereafter. The same result expressed through ROIC is that year-three accretion requires a mature ROIC of roughly 15% when proceeds are substantially deployed. Cash left idle is dilutive under every scenario, which is why the September-quarter capex print matters.

Figure 7: Year 3 EPS effect by mature ROIC and deployment



Source: J.P. Morgan estimates.

Test 3 - Was equity the cheapest funding source?

No. The debt counterfactual is 3-3.5ppt better on each EPS line because RMB coupons of 2-3% cost far less than a 12% earnings yield. The case for equity rests outside the EPS bridge: offshore currency for procurement, rating and covenant headroom while consolidated free cash flow is negative, and permanent capital that does not need refinancing in the middle of a capex cycle. Those are legitimate benefits, but the choice was not free.

Test 4 - Does it create value per existing share?

This is the test an earnings-yield comparison does not answer. Issuing below fair value transfers value to new holders, so project NPV must exceed that transfer for existing holders to be better off. Using HK\$205 as pre-deal fair value, post-deal value per share is HK\$203.1 with full infrastructure NPV, a 0.9% reduction, and HK\$202.6 at the 60% mix, a 1.2% reduction. The deal becomes per-share accretive only if pre-deal fair value is below roughly HK\$153 at 100% infrastructure or HK\$137 at our 60% mix.

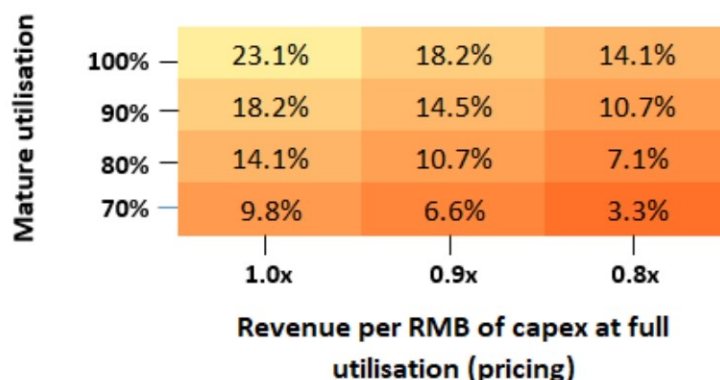
Four-test summary: compute creates value; the placement is roughly EPS-neutral at our base mix and accretive if infrastructure share is high; equity costs about 3ppt of EPS versus debt; and existing holders give up about 1% of intrinsic value at our fair value. None of that resembles a US\$19bn abnormal pricing, but the accretion claim is conditional, and the next two prints will reveal the condition.

Capex trajectory and earnings absorption

The duration framing needs updating, but our FY27 capex estimate does not. A US\$10.3bn equity raise five days after the print is evidence that management expects capex to stay high for longer than one procurement cycle. We keep FY27E capex at RMB200bn and use RMB270bn as the stress case.

Returns cannot simply be scaled with capex. A larger program at constant unit economics creates more value; the risk is that unit returns fall as supply expands. Flexing mature utilization and pricing together, the project still clears a 10% cost of capital across most of the grid. But 80% utilization with 10% lower pricing earns only about 11%, and 70% utilization with 20% lower pricing earns about 3%. This is how a bigger program becomes a worse one, and why RMB270bn is a risk case rather than upside.

Figure 8: Project IRR as scale pressure utilization and pricing



Source: J.P. Morgan estimates.

We believe the P&L absorbs the build regardless of financing. Under the same vintage economics, gross depreciation equivalent to one year's base-case capex is 28% of Alibaba FY27E net income, 13% of Tencent's and 23% of Baidu's. Yet incremental EBITDA exceeds depreciation from the first full year. The key risk is therefore EBITDA, utilization and pricing, rather than depreciation itself.

Table 8: Earnings absorption of base-case capex programs (RMB bn; vintage economics)

	Alibaba 200			Tencent 200			Baidu 30		
Program year	1	2	3	1	2	3	1	2	3
Incremental revenue	120	180	200	120	180	200	18	27	30
Incremental EBITDA (45%)	54	81	90	54	81	90	8	12	14
Depreciation (5-year life)	40	40	40	40	40	40	6	6	6
Incremental EBIT	14	41	50	14	41	50	2	6	8
Net income after 20% tax	11	33	40	11	33	40	2	5	6
Memo: gross depreciation/forecast NI	28%			13%			23%		

Source: J.P. Morgan estimates.

Trading the funding cycle

Dated events. Placement settlement on 26 August removes the technical overhang, while Baidu's EGM the same day gates the Southbound-flow story. Alibaba's September-quarter print is the main test: external cloud growth above 50%, AI Labs

losses down sequentially, and capex consistent with prefunding. Hunyuan 4 is Tencent's evidence point; the Kunlunxin listing is Baidu's key funding event because it changes the ability to scale.

Precedents. BYD and Xiaomi both placed equity at 6-8% discounts in March 2025; both stocks opened lower and were later absorbed into rallies already under way. We treat those deals as context rather than valuation anchors for Alibaba.

Relative positioning. Tencent's premium multiple buys a fully internally funded program plus a RMB875bn portfolio. Alibaba has removed a funding overhang, while we think the market has over-priced the negative signal embedded in the raise. With the stock trading at 12x FY27E and 8x FY28E P/E, we would add into the September-quarter print. Baidu's parent dilution risk remains low because its equity route is at the subsidiary level.

What would change our view

- Alibaba raises its three-year capex commitment materially above RMB380bn without lifting external cloud growth guidance above 50%.
- Proceeds remain substantially undeployed for more than 12 months, visible in treasury balances rather than PP&E and prepayments.
- AI Labs and Applications losses fail to decline sequentially in the September quarter, implying a lower infrastructure share of spending.
- External cloud pricing deflates as supply eases; Figure 8 shows project IRR near 11% at 80% utilization and 10% lower pricing.
- A second parent-level Alibaba equity raise within 12 months.
- For Tencent, a quarter in which capex + dividend + buyback exceeds operating cash flow without a matching disposal.
- For Baidu, a Kunlunxin listing delayed beyond 2026 or raising materially less than needed for the stated capacity plan.

Companies Discussed in This Report (all prices in this report as of market close on 25 August 2026, unless otherwise indicated)

Alibaba Group Holding Limited(9988.HK/HK\$114.20/OW), Alibaba Group Holding Limited (BABA)(BABA/\$118.47[24 August 2026]/OW), Baidu.com(9888.HK/HK\$89.75/OW), Baidu.com (BIDU)(BIDU/\$92.18[24 August 2026]/OW), Tencent (0700)(0700.HK/HK\$442.00/OW)

Analyst Certification: The Research Analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst’s personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst’s compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst’s analysis was made in good faith and that the views reflect the Research Analyst’s own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

- **Market Maker:** J.P. Morgan Securities LLC makes a market in the securities of Baidu.com (BIDU) or related entities.
- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Baidu.com, Baidu.com (BIDU) or related entities.
- **Market Maker/ Liquidity Provider (Hong Kong):** J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited and/or an affiliate is a market maker and/or liquidity provider in the securities of Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Baidu.com, Baidu.com (BIDU), Tencent (0700) or related entities and/or warrants or options thereon, which are listed or traded on The Stock Exchange of Hong Kong Limited.
- **Manager or Co-manager:** J.P. Morgan acted as manager or co-manager in a public offering of securities or financial instruments (as such term is defined in Directive 2014/65/EU) of/for Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Tencent (0700) or related entities within the past 12 months.
- **Analyst Position:** An analyst on the Equity or Credit coverage team, non-fundamental analyst who may produce trade recommendations, or a member of their respective household(s) has a financial interest in the debt or equity securities of Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Tencent (0700) or related entities.
- **Beneficial Ownership (1% or more):** J.P. Morgan beneficially owns 1% or more of a class of common equity securities of Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Baidu.com, Baidu.com (BIDU), Tencent (0700) or related entities.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Baidu.com, Baidu.com (BIDU), Tencent (0700) or related entities.
- **Client/Investment Banking:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as investment banking clients: Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Tencent (0700) or related entities.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Baidu.com, Baidu.com (BIDU), Tencent (0700) or related entities.
- **Client/Non-Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-securities-related: Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Baidu.com, Baidu.com (BIDU), Tencent (0700) or related entities.
- **Investment Banking Compensation Received:** J.P. Morgan has received in the past 12 months compensation for investment banking services from Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Tencent (0700) or related entities.
- **Potential Investment Banking Compensation:** J.P. Morgan expects to receive, or intends to seek, compensation for investment banking services in the next three months from Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Baidu.com, Baidu.com (BIDU), Tencent (0700) or related entities.
- **Non-Investment Banking Compensation Received:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Baidu.com, Baidu.com (BIDU), Tencent (0700) or related entities.

● **Debt Position:** J.P. Morgan may hold a position in the debt securities of Alibaba Group Holding Limited, Alibaba Group Holding Limited (BABA), Baidu.com, Baidu.com (BIDU), Tencent (0700) or related entities, if any.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan-covered companies, and certain non-covered companies, by visiting <https://www.jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

Alibaba Group Holding Limited (9988.HK, 9988 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
17-Nov-23	OW	81.35	120
09-Jan-24	OW	70.35	105
08-Feb-24	OW	74.90	100
09-Apr-24	OW	70.40	95
16-Aug-24	OW	76.40	106
09-Oct-24	OW	104.50	120
26-Nov-24	OW	81.95	117
09-Jan-25	OW	80.90	120
21-Feb-25	OW	120.90	165
10-Jul-25	OW	102.90	135
31-Aug-25	OW	115.70	165
01-Oct-25	OW	177.00	240
09-Oct-25	OW	177.60	235
26-Nov-25	OW	157.80	225
09-Jan-26	OW	142.60	210
20-Mar-26	OW	132.00	200
08-Apr-26	OW	118.50	195
14-May-26	OW	132.80	200
21-Aug-26	OW	126.20	205

Alibaba Group Holding Limited (BABA) (BABA, BABA US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
17-Nov-23	OW	79.11	125
09-Jan-24	OW	72.88	110
08-Feb-24	OW	73.64	105
09-Apr-24	OW	71.71	100
16-Aug-24	OW	79.54	108
09-Oct-24	OW	109.68	125
26-Nov-24	OW	85.58	120
09-Jan-25	OW	83.69	125
21-Feb-25	OW	135.97	170
10-Jul-25	OW	103.83	140
31-Aug-25	OW	135.00	170
01-Oct-25	OW	178.73	245
09-Oct-25	OW	181.12	240
26-Nov-25	OW	157.01	230
09-Jan-26	OW	154.47	215
20-Mar-26	OW	124.90	205
08-Apr-26	OW	119.72	200
14-May-26	OW	145.81	205
21-Aug-26	OW	130.53	210

Baidu.com (9888.HK, 9888 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
19-Oct-23	OW	113.70	180
22-Nov-23	OW	107.40	210
08-Apr-24	OW	105.10	170
26-Aug-24	OW	82.20	140
21-Oct-24	OW	93.30	125
28-Nov-24	N	82.35	85
19-Feb-25	N	90.20	100
28-May-25	N	81.85	90
17-Jul-25	N	88.55	85
21-Oct-25	N	117.10	105
23-Nov-25	OW	107.30	185
21-Jan-26	OW	148.80	195
19-May-26	OW	134.70	225
17-Jul-26	OW	110.30	200
19-Aug-26	OW	101.10	170

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 11, 2021. All share prices are as of market close on the previous business day.

Baidu.com (BIDU) (BIDU, BIDU US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
19-Oct-23	OW	114.71	185
22-Nov-23	OW	113.42	215
08-Apr-24	OW	106.49	175
26-Aug-24	OW	85.70	145
21-Oct-24	OW	94.39	130
28-Nov-24	N	84.82	87
19-Feb-25	N	90.16	100
28-May-25	N	83.92	90
17-Jul-25	N	86.32	85
21-Oct-25	N	122.12	110
23-Nov-25	OW	110.95	188
21-Jan-26	OW	150.02	200
19-May-26	OW	137.71	230
17-Jul-26	OW	112.82	205
19-Aug-26	OW	90.87	175

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 02, 2007. All share prices are as of market close on the previous business day.

Tencent (0700) (0700.HK, 700 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
21-Mar-24	OW	288.80	410
15-May-24	OW	381.80	480
13-Oct-24	OW	438.80	520
20-Mar-25	OW	540.00	600
15-May-25	OW	521.00	630
16-Jul-25	OW	517.50	600
14-Aug-25	OW	586.00	685
14-Nov-25	OW	656.00	750
19-Mar-26	OW	550.50	690

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 07, 2010. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, <https://www.jpmorganmarkets.com>.

Coverage Universe: Yao, Alex : Alibaba Group Holding Limited (9988.HK), Alibaba Group Holding Limited (BABA) (BABA), Alibaba Health (0241) (0241.HK), Autohome Inc (ATHM), Autohome Inc - H (2518.HK), Baidu.com (9888.HK), Baidu.com (BIDU) (BIDU), Damai Entertainment (1060.HK), DiDi Global Inc. (DIDIY), JD.Com, Inc. (9618) (9618.HK), JD.com, Inc. (JD), Kingsoft Cloud (KC), Kingsoft Cloud Holdings Ltd - H (3896.HK), Lianlian DigiTech - H (2598.HK), Maoyan Entertainment (1896.HK), Meituan (3690) (3690.HK), PDD HOLDINGS INC (PDD), Ping An Healthcare and Technology (1833) (1833.HK), Tencent (0700) (0700.HK), Tencent Music Entertainment (TME), Tencent Music Entertainment - H (1698.HK), Trip.com Group Ltd (TCOM), Trip.com Group Ltd - H (9961.HK), Vipshop (VIPS), WeRide - ADR (WRD), Weibo Corporation (WB), Weibo Corporation - H (9898.HK)

J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at <http://www.jpmorganmarkets.com>, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, <http://www.jpmorganmarkets.com>. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of <http://www.jpmorganmarkets.com> where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to [UK MIFID Research Unbundling exemption](#) for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Any digital or crypto assets discussed in this research report are subject to a rapidly changing regulatory landscape. For relevant regulatory advisories on crypto assets, including bitcoin and ether, please see <https://www.jpmorgan.com/disclosures/cryptoasset-disclosure>.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC (“JPMS”) acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit <https://www.theocc.com/components/docs/riskstoc.pdf> for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries (“J.P. Morgan Private Bank”), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:

Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina (“BCRA”- Central Bank of Argentina) and Comisión Nacional de Valores (“CNV”- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited (“JPMSAL”) (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to “wholesale clients” (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting <https://www.jpmm.com/research/disclosures>. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: [J.P. Morgan Australia - Research Independence Policy](#).

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissão de Valores Mobiliários (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P. Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE (“JPM SE”), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions (“EEA professional investors”). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai - 400098, is registered with the Securities and Exchange Board of India (SEBI) as a ‘Research Analyst’ having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number - INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: <http://www.jpimipl.com>. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasad K, jpimipl.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit [Terms and Conditions and Most Important Terms and Conditions \(MITC\)](#). The annual Compliance audit report is available at <http://www.jpimipl.com/#research>.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange (“Bolsa Mexicana de Valores”) and the Institutional Stock Exchange (“Bolsa Institucional de Valores”), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission (“Comisión Nacional Bancaria y de Valores”).

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to “wholesale clients” (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMSS) [MDDI (P) 057/08/2025 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of “accredited investors,” “expert investors” or “institutional

investors,” as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMSS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange (“Non-Taiwan Listed Securities”), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the “Important Disclosures” in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumpini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc (“JPMS plc”) which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited (“JPMML Ltd”) which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 (“the FPO”); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as “UK relevant persons”. This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA’s policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: [J.P. Morgan EMEA - Research Independence Policy](#).

U.S.: J.P. Morgan Securities LLC (“JPMS”) is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own

independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: <https://www.jpmorgan.com/disclosures/email>

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to [msci.com/disclaimer](https://www.msci.com/disclaimer)

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at <https://www.sustainalytics.com/legal-disclaimers>. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised July 04, 2026.

Copyright 2026 J.P. Morgan Securities (China) Company Limited. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party ("J.P. Morgan Data") in any third-party artificial intelligence ("AI") systems or models when such J.P. Morgan Data is accessible by a third-party.